Syllabus

HAIN CELESTIAL GROUP, INC., ET AL. *v.* PALMQUIST, INDIVIDUALLY AND AS NEXT FRIEND OF E. P., A MINOR, ET AL.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE FIFTH CIRCUIT

No. 24–724. Argued November 4, 2025—Decided February 24, 2026

Respondents Sarah and Grant Palmquist fed their child E. P. baby food that was made by petitioner Hain Celestial Group, Inc., and that they purchased from petitioner Whole Foods Market, Inc. When E. P. was 2½ years old, he began exhibiting serious developmental disorders and was diagnosed with a range of physical and mental conditions that some doctors attributed to heavy-metal poisoning. In 2021, a subcommittee of the U. S. House of Representatives released a staff report finding that certain baby foods, including Hain's, contained elevated levels of toxic heavy metals. Following the report's release, the Palmquists sued both Hain and Whole Foods in Texas state court, alleging state-law product liability and negligence claims against Hain, and state-law breach-of-warranty and negligence claims against Whole Foods. Hain, a Delaware corporation with a principal place of business in New York, removed the case to federal court based on diversity of citizenship, but confronted a problem: Federal courts may exercise diversity jurisdiction only when no adverse party is from the same State, but Whole Foods and the Palmquists are all Texas citizens. As a result, the District Court lacked jurisdiction as the case stood upon removal. Hain sought to cure this problem by arguing in its notice of removal that Whole Foods had been improperly joined in the lawsuit and should be dismissed, which would have established complete diversity between Hain and the Palmquists. The District Court agreed with Hain, dismissed Whole Foods, and denied the Palmquists' motion to remand. The case then went to trial against Hain alone in federal court. The District Court granted Hain's motion for judgment as a matter of law on all claims, explaining that the Palmquists had failed to present sufficient evidence to prove causation. On appeal, the Fifth Circuit reversed the District Court's improper-joinder decision and dismissal of Whole Foods. Because Whole Foods had been improperly dismissed, the Fifth Circuit concluded that the District Court lacked diversity jurisdiction, that the District Court's judgment had to be vacated, and that the case had to be remanded to state court. This Court granted certiorari to resolve a

Page Proof Pending Publication

divide among the Courts of Appeals on whether vacatur is required in these circumstances.

Held: Because the District Court's erroneous dismissal of Whole Foods did not cure the jurisdictional defect that existed when this case was removed to federal court, the Fifth Circuit correctly vacated the judgment in Hain's favor. Pp. 427–434.

(a) Federal courts are courts of limited jurisdiction, and a federal court of appeals must "satisfy itself not only of its own jurisdiction, but also of that of the lower courts in a cause under review." *Mitchell* v. *Maurer*, 293 U. S. 237, 244. In most cases, federal appellate courts assess the district court's jurisdiction based on "the state of facts that existed at the time of filing." *Grupo Dataflux* v. *Atlas Global Group, L. P.*, 541 U. S. 567, 571. If the court of appeals concludes that the district court lacked jurisdiction over the case when it was filed in or removed to federal court, then the court of appeals typically must vacate any judgment on the merits.

One exception to this general rule is relevant here: If a district court cures a jurisdictional defect before final judgment, then the court of appeals is not required to vacate that judgment even if, at some earlier point in the case, the district court lacked jurisdiction. The Court discussed this exception in *Caterpillar Inc.* v. *Lewis*, 519 U. S. 61, in which the nondiverse defendant was fully dismissed with all of the parties' consent through a partial final judgment under Federal Rule of Civil Procedure 54(b), leaving behind a completely diverse set of parties before trial commenced. In those circumstances, the Court held that the jurisdictional defect had been cured and the verdict could stand despite the District Court's earlier "*statutory* misstep" in denying the motion to remand. *Id.*, at 73. On the other hand, the Court stated, had the jurisdictional defect not been cured and instead "lingered through judgment," then vacatur would have been required. *Id.*, at 76–77. Pp. 428–430.

Page Proof Pending Publication

(b) The core dispute in this case is whether Whole Foods's erroneous dismissal before final judgment cured the jurisdictional defect that existed at the time of removal. It did not. The District Court's dismissal of Whole Foods as improperly joined was both erroneous and "[i]nterlocutory," meaning it did "not dispose of the whole case" and "merge[d] into the final judgment" for "revie[w] on appeal." *Dupree* v. *Younger*, 598 U. S. 729, 734, 735. When the Fifth Circuit reversed the District Court's error, it restored Whole Foods to the case and thus destroyed complete diversity. As a result, the jurisdictional defect "lingered through judgment" uncured and the judgment "must be vacated." *Caterpillar*, 519 U. S., at 77.

Syllabus

Hain argues that the correctness of the District Court's dismissal is irrelevant because the parties were completely diverse by the time of final judgment, but the Court has never held that a district court can create jurisdiction through its own mistakes. A rule to the contrary would permit courts to enlarge their jurisdiction beyond the limits Congress imposed. Hain also appeals to efficiency, arguing that it would be wasteful to send this case back to state court for a new trial. The "considerations of finality, efficiency, and economy" recognized in *Caterpillar*, 519 U. S., at 75, however, were relevant only to excusing noncompliance with the removal statute's requirement of complete diversity at the time of removal after a jurisdictional defect has been properly and finally cured. As to the jurisdictional requirement itself, *Caterpillar* held that an uncured jurisdictional defect means that "the judgment must be vacated." *Id.*, at 76–77. Pp. 430–432.

(c) Finally, Hain argues that Whole Foods should now be dismissed under Federal Rule of Civil Procedure 21, which permits a federal court to "add or drop a party" "on just terms." In *Newman-Green, Inc.* v. *Alfonzo-Larrain*, 490 U. S. 826, 833, 837–838, the Court held that courts may use Rule 21 "to dismiss a dispensable nondiverse party" in appropriate circumstances, but must "carefully consider whether the dismissal . . . will prejudice any of the parties in the litigation." This case is unlike *Newman-Green*, in which the plaintiff sought the dismissal, because here a defendant is seeking dismissal of another, nondiverse defendant. The identity of the party asking for the dismissal is important because "[t]he plaintiff is 'the master of the complaint,' " and generally has the right to choose whether to proceed in federal or state court. *Royal Canin U. S. A., Inc.* v. *Wullschleger*, 604 U. S. 22, 35. Hain's proposed use of Rule 21 would force the Palmquists to litigate this case in federal court against their wishes and despite their right to control the forum for this case. See *Atlantic Marine Constr. Co.* v. *United States Dist. Court for Western Dist. of Tex.*, 571 U. S. 49, 63. The Palmquists exercised their right to choose a state forum by purposefully and properly joining a nondiverse defendant against whom they could not proceed in federal court, and diligently asserted that right by promptly moving to remand the case to state court. Rule 21 does not permit a court or a defendant to override their choice in these circumstances. Pp. 432–433.

103 F. 4th 294, affirmed and remanded.

SOTOMAYOR, J., delivered the opinion for a unanimous Court. THOMAS, J., filed a concurring opinion, *post*, p. 434.

Page Proof Pending Publication

Sarah E. Harrington argued the cause for petitioners. With her on the briefs were *Paul W. Schmidt*, *Michael X. Imbroscio*, *Abby C. Wright*, *Nicole M. Antoine*, *Matthew C. Quallen*, *Bradley E. Chambers*, *Kristine L. Roberts*, *Brian M. Ballay*, and *Alexandra B. Rychlak*.

Russell S. Post argued the cause for respondents. With him on the brief were *Owen J. McGovern* and *David C. Frederick*.*

JUSTICE SOTOMAYOR delivered the opinion of the Court.

Federal courts are courts of limited jurisdiction and generally can resolve only the cases that Congress grants them power to hear. One class of cases over which Congress has given federal courts jurisdiction is "diversity" cases between "citizens of different States." 28 U. S. C. § 1332(a).

If a federal court of appeals finds that a district court lacked jurisdiction over a case (for example, because the parties turned out not to be from different States), then the district court's judgment on the merits must be vacated. A district court's judgment can stand, however, if the district court "cured" the jurisdictional defect before entering final judgment, such as by properly dismissing a nondiverse party from the case.

This case asks whether a district court's erroneous dismissal of a nondiverse party before final judgment can cure a jurisdictional defect that existed when the case was removed to federal court. The Fifth Circuit held that it can-

Page Proof Pending Publication

*Briefs of *amici curiae* urging reversal were filed for the National Association of Manufacturers et al. by *Jaime A. Santos*, *Rohiniyurie Tashima*, *Jennifer B. Dickey*, and *Erica Klenicki*; for the Product Liability Advisory Council, Inc., by *Nicole Saharsky* and *Minh Nguyen-Dang*; and for the Washington Legal Foundation by *Cory L. Andrews* and *Zac Morgan*. *Lawrence S. Ebner* filed a brief for the Atlantic Legal Foundation as *amicus curiae* urging vacatur and remand.

Briefs of *amici curiae* urging affirmance were filed for the American Association for Justice by *Deepak Gupta* and *Jonathan E. Taylor*; and for Civil Procedure Professors by *David Freeman Engstrom*, *pro se*.